Tutorial note

(i) While entering the date, the year may be written at the top, then the month and then the particular date.

(ii) The narration must be simple and complete. The words 'Being' or 'For' may also be prefixed before the narration.

(iii) It is customary to write 'Dr' and 'To' in the journal entries.

(iv) L.F. column is filled when the transaction is posted to the ledger. In computerised accounting, it is the reference number.

(v) The amount columns of a journal may be totalled at the end of the each page and the grand total may be given at the end of the month.

(vi) To show each journal entry separately, a line may be drawn after narration in particulars column.

(vii) When transactions of similar nature take place on the same date, they may be combined while they are journalised.

3.8.3 Steps in journalising

The process of analysing the business transactions under the heads of debit and credit and recording them in the journal is called journalising. An entry made in the journal is called a journal entry. The following steps are followed in journalising:

(1) Analyse the transactions and identify the accounts (based on aspects) which are involved in the transaction.

(2) Classify the above accounts under Personal account, Real account or Nominal account

(3) Apply the rules of debit and credit for the above two accounts.

(4) Find which account is to be debited and which account is to be credited by the application of rules of double entry system

(5) Record the date of transaction in the date column.

(6) Enter the name of the account to be debited in the particulars column very close to the left hand side of the particulars column followed by the abbreviation 'Dr.' at the end in the same line. Against this, the amount to be debited is entered in the debit amount column in the same line.

(7) Write the name of the account to be credited in the second line starting with the word 'To' prefixed a few spaces away from the margin in the particulars column. Against this, the amount to be credited is entered in the credit amount column in the same line.

(8) Write the narration within brackets in the next line in the particulars column.

3.8.4 Different types of journal entries

The journal entries may be of the following types:

(i) Single entry
(ii) Compound entry
(iii) Opening entry
(iv) Closing entry
(v) Rectifying entry
(vi) Adjusting entry
(vii) Transferring entry

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